

Amendment No. 1 to SB0709

White
Signature of Sponsor

AMEND Senate Bill No. 709

House Bill No. 663*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 49, Chapter 4, is amended by adding the following as a new part:

49-4-501. Part definitions.

As used in this part, unless the context otherwise requires:

(1) "Competency-based" means awarded on the basis of demonstrated knowledge and skills rather than completion of instructional hours or participation in an instructional course or program;

(2) "Department" means the department of labor and workforce development;

(3) "Eligible institution" means a public institution of higher education, a public-private partnership in coordination with a public institution of higher education, or a private nonprofit institution of higher education domiciled in this state that provides programming approved by the Tennessee higher education commission and that is authorized by the commission to operate in this state;

(4) "Eligible student" means a student who is enrolled at an eligible institution and is a resident of this state, as established by the eligible institution's rules and policies pursuant to § 49-8-104;

(5) "Fund" means the economy workforce credential grant fund;

(6) "Grant" means an economy workforce credential grant;

(7) "High demand, high wage field" means a discipline or field for which there is a shortage of skilled workers to fill current job vacancies or anticipated additional job openings and for which there is a demonstrated wage earning potential for employees, as determined by TBR and the department;

(8) "Industry-recognized" means technical and occupational skills identified as necessary for performing functions of an occupation based on standards developed or endorsed by employers and industry organizations;

(9) "Noncredit workforce credential" means a competency-based, industry-recognized, portable, and third-party-validated certification or occupational license in a high demand, high wage field;

(10) "Noncredit workforce training program":

(A) Means a program at an eligible institution that prepares students for an occupation in a high demand, high wage field; and

(B) Does not include programs that award certificates of completion;

(11) "Portable" means a training program recognized by multiple employers or educational institutions and across geographic areas;

(12) "Program" means the economy workforce credential grant program;

(13) "TBR" means the Tennessee board of regents; and

(14) "Third-party-validated" means having an external process in place to determine the validity and relevance of a training program in the workplace and to ensure that a training program aligns demonstrated knowledge and skills with industry workforce needs.

49-4-502. Creation of the economy workforce credential grant program.

(a) The economy workforce credential grant program is established for the purpose of:

(1) Creating and sustaining a supply of credentialed workers for occupations in high demand, high wage fields in this state by addressing and closing the gap between the skills needed by workers and the skills of the available workforce;

(2) Expanding the affordability of workforce training and credentialing; and

(3) Increasing the interest of current and future workers in the current and future technician, technologist, and trade level positions in this state that do not require a high school graduate to possess a bachelor's or other advanced degree.

(b) The department shall administer the program and shall carry out the goals and purposes of the program in accordance with this part. In administering the program, the department:

(1) Shall require eligible institutions to provide the department with student specific data and to make final decisions in disputes between eligible institutions and grant recipients;

(2) Shall conduct periodic assessments of the overall success of the program and recommend any modifications, interventions, and other actions based on the results of an assessment;

(3) Shall, in consultation with TBR, maintain and update a publicly available list of the noncredit workforce training programs and noncredit workforce credentials in high demand, high wage fields in this state that are eligible for the grant program created in this part; and

(4) May promulgate rules for the administration of the program as it deems necessary and appropriate. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(c) The department shall disburse moneys to eligible institutions on a first-come, first-served basis as eligible students enroll in noncredit workforce training programs identified by the governing board of the eligible institution pursuant to subsection (d); provided, that no more than one-fourth (1/4) of the moneys in the fund may be disbursed annually to any one (1) eligible institution. The department shall set forth the procedure by which eligible institutions must notify the department when eligible students apply in noncredit workforce training programs identified by the governing board of the eligible institution pursuant to subsection (d).

(d) The department shall make recommendations to eligible institutions to help such institutions determine high demand, high wage fields for which noncredit workforce training programs may be offered for purposes of the program. The governing board of each eligible institution shall determine the noncredit workforce training programs offered for purposes of the program.

49-4-503. Economy workforce credential grant fund - Administration.

(a) There is created within the state general fund a special account to be known as the economy workforce credential grant fund.

(b) Unless otherwise specified in this part, moneys appropriated by the general assembly and moneys received from other sources, public or private, for the implementation and administration of this part must be deposited in the fund and may only be used to implement and administer the program, as provided in this part. In addition to appropriations made to the fund, the state treasurer may accept other funds, public or private, by way of gift or grant to the fund. Any such gift or grant must be deposited into the fund and may only be expended in accordance with this part.

(c) The state treasurer shall invest moneys in the fund for the benefit of the fund in accordance with § 9-4-603. Interest accruing on investments and deposits of the fund must be credited to and remain part of the fund.

(d) Any unencumbered moneys and any unexpended balance of the fund remaining at the end of a fiscal year do not revert to the general fund, but must be carried forward until expended in accordance with this part. The fund must not be diverted to the general fund or any other public fund.

(e) The department shall administer the fund, and moneys in the fund must be expended and obligated only in accordance with this part and in accordance with appropriations made by the general assembly.

49-4-504. Grants.

(a) Subject to the availability of funds, an eligible student who enrolls in a noncredit workforce training program offered by an eligible institution for purposes of the program may apply with the eligible institution to be awarded a grant to cover two-thirds (2/3) of the cost of the noncredit workforce training program less all other financial aid; provided, that:

(1) At the time of enrollment, the eligible student signs an agreement with the eligible institution to complete the noncredit workforce training program or, in the event of noncompletion of the noncredit workforce training program, repay the institution one-half (1/2) of the grant awarded to the eligible student; and

(2) The grant is not more than three thousand dollars (\$3,000) per eligible student.

(b) Upon the presentation of satisfactory proof of completion of the noncredit workforce training program by the eligible student, the department shall reimburse the eligible student's eligible institution in an amount equal to one-half (1/2) of the grant awarded to the eligible student pursuant to this section. Upon the presentation of satisfactory proof of the attainment of a noncredit workforce credential by the eligible student, the department shall reimburse the eligible student's eligible institution in an amount equal to one-half (1/2) of the grant awarded to the eligible student pursuant to this section.

49-4-505. Requirements for eligible institutions that participate in the program.

(a) Each eligible institution that participates in the program shall adopt a policy to award academic credit to an eligible student who earns a noncredit workforce credential that is relevant to the certificate or degree program the eligible student is pursuing at the eligible institution.

(b) No later than January 1 of each year, each eligible institution that participates in the program shall submit to the department a report with data collected from the previous year regarding the eligible institution's noncredit workforce training program completion rate and the noncredit workforce credential attainment rate by eligible students participating in the program that includes:

- (1) A list of the noncredit workforce credentials offered, by name and certification entity;
- (2) The number of eligible students who enrolled in a noncredit workforce credential program;
- (3) The number of eligible students who completed a noncredit workforce credential program;
- (4) The number of eligible students who attained noncredit workforce credentials after completing a noncredit workforce training program, by credential name and relevant industry sector; and
- (5) The average cost per noncredit workforce credential attained, by credential name and relevant industry sector.

(c) The department shall compile the data provided pursuant to subsection (b) and report such data, in the aggregate and disaggregated by eligible institution, to the general assembly. The report must include, to the extent available, information regarding the wages earned by eligible students who completed a noncredit workforce training program, including the average wage earned by such students, as well as any other information regarding the eligible students who completed a noncredit workforce

training program, disaggregated by credential and industry sector, that the department finds relevant to the general assembly's evaluation of the success of the grant program.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it.